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FX Forecast Update

Energy shock steers global repricing

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FX market overview

Recent developments: energy prices in the driver's seat

- Since our last FX Forecast Update on 17 February, the surge in energy prices has taken the driver's seat following the US/Israel attack on Iran and subsequent escalation in the Persian Gulf. The energy shock has triggered textbook negative supply-side dynamics, including higher inflation expectations, weaker growth expectations, and lower equities. Financial conditions have tightened globally, evident by higher bond yields, a bearish flattening of yield curves, and wider credit spreads. In this environment, the USD has emerged as a key beneficiary, supported by flight-to-safety flows and a positive terms-of-trade shock stemming from its role as a net-energy exporter. Global monetary policy has undergone a hawkish repricing, despite central banks broadly opting to keep rates on hold and refraining from strong forward guidance, citing uncertainty surrounding the duration of the energy supply disruption. This week, both the Fed, ECB, Riksbank, BoE, BoC and BoJ held rates steady, while RBA hiked. Next week Norges Bank is expected to keep rates unchanged as well.

FX implications: dollar tailwind and mixed Scandies

- Over the past month, the USD has strengthened on the back of traditional safe-haven flows, with EUR/USD declining firmly back to the 1.15 mark. The surge in energy prices has provided significant tailwinds to energy-exporting economies, placing AUD, CAD, and NOK as top performers within the G10 space. In contrast, CEE currencies such as HUF, PLN, and CZK have faced mounting pressure due to risk-off sentiment and their reliance on energy imports. Similarly, SEK has been a notable underperformer, reaffirming its status as one of the most risk-sensitive, high-beta currencies. NOK, however, has so far been remarkably resilient, decoupling from the SEK sell-off, being one of the few European terms-of-trade beneficiaries. Finally, Japanese and Swiss authorities look set to intervene against yen weakness and Swiss franc strength.

Outlook: long-term bullish on EUR/USD and EUR/Scandies

- With no quick resolution to the war in Iran, we expect the downturn in EUR/USD to continue in the 1-3M horizon. Looking further ahead, we still think that weakening US structural growth outlook could revert the cross to a rising trend in 6-12M. For EUR/SEK, we maintain our medium-term forecast of 11.00 in 6-12M. Meanwhile, we have significantly lowered our EUR/NOK profile due to the recent energy price surge. That said, a de-escalation of the conflict could leave NOK very vulnerable to a topside correction, as weaker global growth and Norway's unit labour cost divergence to the Eurozone will continue to act as a gravitational force higher in EUR/NOK.

Key risk to our forecasts: geopolitics and greater downside risk to USD than entailed in our forecasts

- Near-term risks to our forecasts are closely tied to geopolitical developments regarding the Iran-escalation and by extension global energy prices. Medium- to long term risks are predominantly tied to the US outlook. If the capital rotation out of US assets continues and a sharp US recession hit, EUR/USD could break substantially higher than our forecast suggests. In this environment, commodity currencies would also face a larger hit. Finally, we will closely monitor uncertainty related to AI and broader signs of a turning global cycle.

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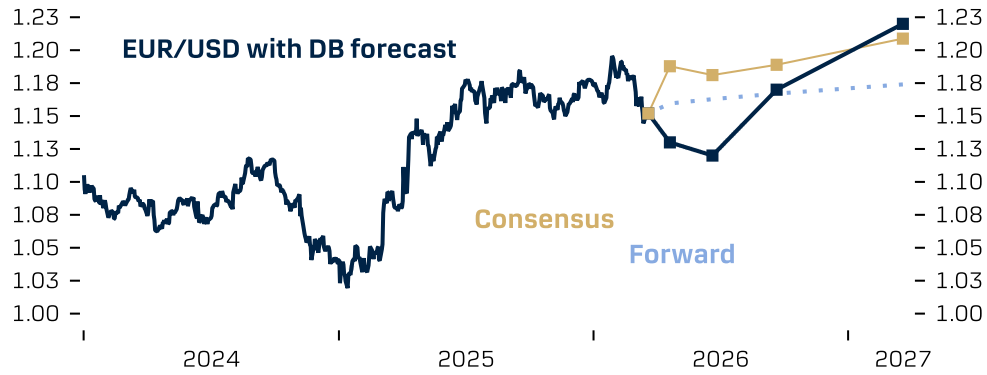
EUR/USD – energy supply shock supports USD in the short-term

- **Cyclical outlook.** The war in Iran has weighed on EUR/USD via several channels. Relative terms of trade have benefitted the US, which is a net exporter of energy, while the euro area suffers from sharply rising import costs. The nominal interest rate spread has narrowed in favour of EUR, but when adjusting for changes in inflation expectations, the real interest rate has widened in favour of USD. Tighter global financial conditions have also benefitted the broad USD. Before the war erupted, cyclical growth indicators had improved in early 2026. We would normally view this as an EUR-positive environment but expect the energy price volatility to overshadow traditional macro indicators as a market driver for now.
- **Monetary policy.** Both the ECB and the Fed maintained their monetary policy unchanged in March. Markets' forward-looking policy rate expectations have shifted notably higher, especially in the euro area, where ECB is priced to hike already in June. In contrast, we have not made changes to our central bank calls for now, and we expect the ECB to maintain policy rates at current level and the Fed to cut rates twice this year. Relative to the current market pricing, our central bank views imply modest downward pressure for the cross.
- **External balances.** US current account deficit started widening again in late 2025, which we expect to continue also in 2026 despite the tariffs. In the short-term, rising energy prices pose a negative terms-of-trade shock for the euro area, while the USD benefits from the opposite effect.
- **Valuation.** We estimate EUR/USD fair value over a 1–3Y horizon to be around 1.25, making valuation a structural tailwind for the cross once the current energy price volatility eases.
- **Positioning.** Non-commercial EUR/USD positioning has swung from long to neutral during the war in Iran.

Forecast: 1.13 (1M), 1.12 (3M), 1.17 (6M), 1.22 (12M)



	1M	3M	6M	12M
Danske Bank	1.13	1.12	1.17	1.22
Consensus	1.19	1.18	1.19	1.21
Forward	1.16	1.16	1.17	1.17

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond, Danske Bank

- **Risks.** A sudden de-escalation of the war in Iran and a sharp decline in energy prices could lift EUR/USD above our 1-3M forecast.
- **Conclusion.** EUR/USD has declined notably since our previous forecast update, driven primarily by the war in Iran. With no quick resolution in sight, we expect the downturn to continue in 1-3M horizon. Looking further ahead, we still think that weakening structural growth outlook in the US could revert the cross to a rising trend in 6-12M horizon. The timing of the expected turnaround is highly sensitive to the length of the war and the energy supply disruption.

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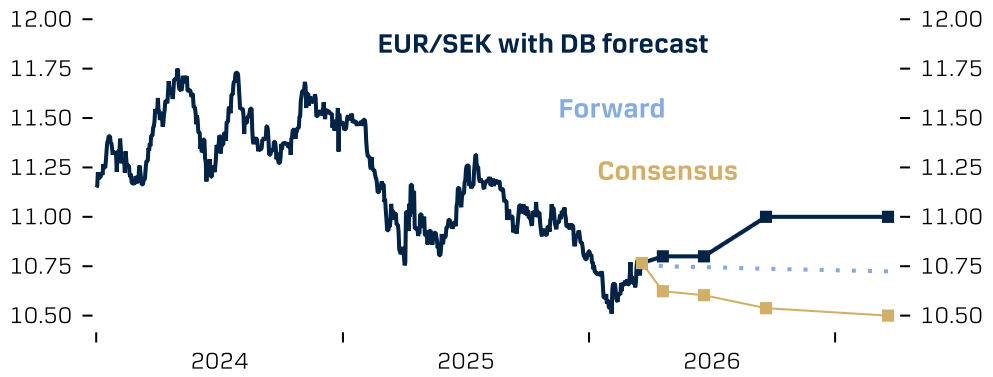
EUR/SEK – geopolitical developments and dividends in focus

Cyclical outlook. As evident by the recently published *Nordic Outlook – 4 March 2026*, our base case remains for strong Swedish growth during 2026, and a marked outperformance vs the Eurozone. However, the US/Israel-Iran war poses new challenges to not only the global, but also the Swedish, cyclical outlook. The expected Swedish growth acceleration hinges on a sizeable comeback for household consumption. And as consumer sentiment has proved to be fickle and prone to setbacks, the expected consumption-led recovery has already been postponed a couple of times over the past years. Elevated uncertainty and/or rising inflation on the back of a prolonged war act as a major downside risk, not only to Swedish growth but also the cyclically sensitive Swedish krona.

- **Monetary policy.** The Riksbank kept the key rate unchanged at 1.75% with a clear "wait and see" stance for future policy considerations. With the prevailing geopolitical and economic uncertainty, the Riksbank's alternative scenarios are well worth reviewing, and help emphasize the fact that in the Riksbank's view, the previous downside risks to inflation have been superseded, at least temporarily, by the ongoing supply shock. With money market pricing currently in line with our call for an end-of-year-hike, we deem the medium-term monetary policy outlook as neutral for the SEK.
- **Flows.** Balance of payment data and mutual fund flows confirmed that the Swedish savings-investment balance generated net-buying of foreign equities during 2025. However, 2026 has started off with two consecutive months of net-buying of Swedish equities and net selling of both US and global dittos. Although it is too soon to call a new trend (recall Q1 2025), we continue to expect capital flows to remain as a slight headwind for the SEK over time.
- **Valuation**. Relative macro hints at some downside potential whilst relative rates continue to signal a return to 11.00, and above, for EUR/SEK.
- **Risks.** A prolonged US/Israel-war with negative repercussions for the global economy and financial markets is a major SEK-negative risk. A newfound appetite for Swedish assets could moderate a long-term SEK tailwind.

Forecast: 10.80 (1M), 10.80 (3M), 11.00 (6M), 11.00 (12M)



	1M	3M	6M	12M
Danske Bank	10.80	10.80	11.00	11.00
Consensus	10.62	10.60	10.54	10.50
Forward	10.75	10.75	10.74	10.72

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond, Danske Bank

- **Conclusion.** The war in the Middle East and massive rallies in energy prices have roiled financial markets and set the scene for G10 FX. Since the war started, the SEK has been the main underperformer and the USD the main outperformer in the G10 space. It makes good sense, in our view, as it confirms that when push comes to shove the krona is still to be counted as one of the most risk-sensitive, high-beta currencies. We can just repeat that Sweden's allegedly strong economic backdrop with solid public finances and a current account surplus does not mean that the SEK should be treated as a safe-haven currency. Nor does it mean that the SEK is fundamentally cheap, but rather a reflection of the balance of capital flows. The Riksbank has seemingly adopted a similar view and in this week's MPR they presented an almost flat forecast for the krona. Focus ahead lies on geopolitical developments and, domestically, on the dividend season. We leave our medium-term forecast unchanged and thus see EUR/SEK at 11.00 in 6-12M.

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EUR/NOK – in the hands of energy…

- **Cyclical outlook.** The Q1 Regional Network Survey out of Norway painted a picture of the mainland economy very similar to that of the last survey in December. Namely, an economy with modest activity- and employment growth and with capacity utilisation running close to a normal level – albeit with considerable sector differences. As Norway is an energy net-exporter, the economy is somewhat better shielded from the negative global supply shock – but importantly still not a net winner. Inflation has been running hotter than forecasted in recent months, but through volatility there is little sign of a renewed acceleration in domestic service price inflation, which, alongside a stronger NOK, should add downside pressure on core inflation in the coming quarter – irrespective of the Iran war. The upcoming central wage negotiations will be key for the inflation backdrop.
- **Monetary policy.** At the December monetary policy meeting Norges Bank (NB) kept rates unchanged whilst indicating 1-2 rate cuts during 2026. Meanwhile, these signals are now put in question in markets amid the latest inflation surprise and the surge in global energy prices. While markets are now pricing in close to two rate hikes from NB this year, we think NB next week will refrain from embedding a hike probability into the rate path. Instead, we think NB will keep a flat rate path until 2027 and then indicate a continuation of the cutting cycle in one year's time. We see relative rates as a positive for EUR/NOK.
- **External balances.** Norway runs a neutral current account balance when adjusting for both petroleum related exports and oil-fund financed fiscal spending. Meanwhile, on a net international investment position basis Norway still runs a sizable deficit when adjusting for the oil fund. NB has become a considerable NOK buyer in 2026 (fiscal- and FX reserve cap transactions) but this merely reflects equivalently less NOK buying from oil and gas companies amid declining revenues.
- **Valuation.** We expect fair value estimates for EUR/NOK to trend higher in the years to come following the relatively higher unit labours costs in Norway and the tightening of real rate gaps.
- **Positioning.** We regard NOK positioning to be stretched long.

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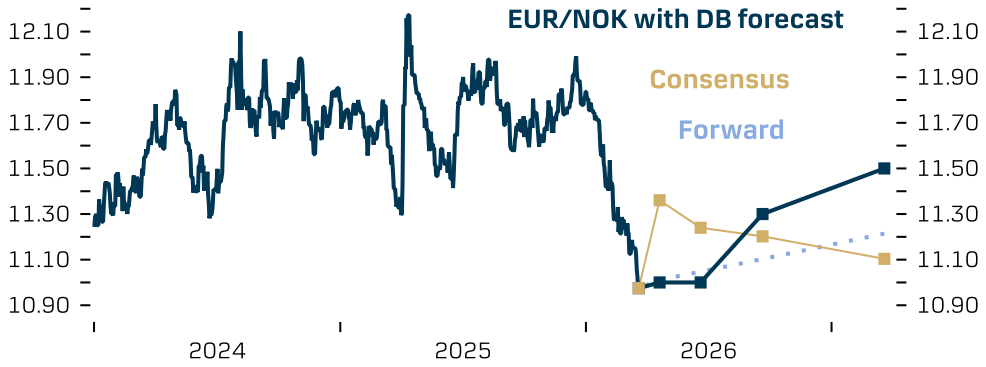
Forecast: 11.00 (1M), 11.00 (3M), 11.30 (6M), 11.50 (12M)



	1M	3M	6M	12M
Danske Bank	11.00	11.00	11.30	11.50
Consensus	11.36	11.24	11.20	11.10
Forward	11.01	11.05	11.10	11.21

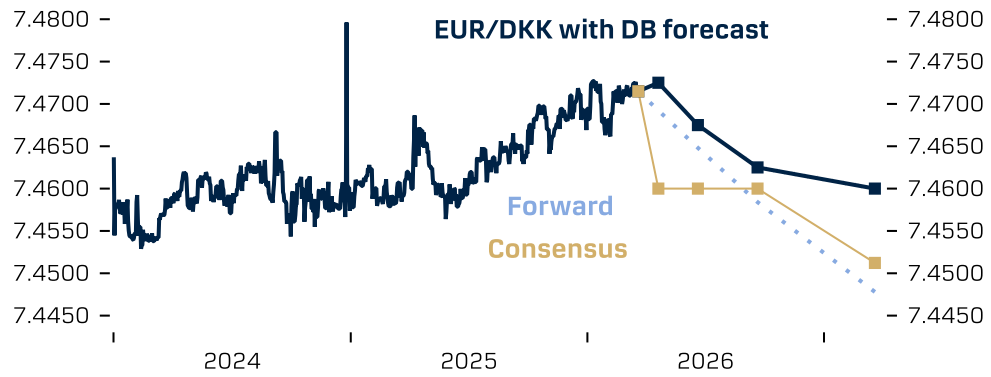
Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond, Danske Bank

- **Risks.** Near-term risks are inherently connected to global energy prices and the development in Iran and the Persian Gulf.
- **Conclusion.** The surge in energy prices following the Iran-escalation has contributed to sending EUR/NOK to multi year lows. Noteworthy, the NOK has so far been remarkably resilient to the souring risk appetite and the worse growth backdrop for Norway's trading partners. In light of the recent move in energy prices, we have lowered our forecast profile considerably. That said, if/when the conflict de-escalates the backdrop could leave NOK very vulnerable to a topside correction. Not only does the global growth backdrop look worse but the unit labour cost divergence to the Eurozone will continue to act as a gravitational force higher in EUR/NOK. In the near-term spot will remain in the hands of energy.

EUR/DKK – close to intervention levels

- **Cyclical outlook.** The cyclical environment looks about neutral-to-negative for EUR/DKK. Equity markets are volatile and bond yields have risen, which is positive for EUR/DKK through rebalancing effects. USD/DKK has rebounded, which improves Denmark's competitiveness. That is important for the earnings potential in the Danish economy considering the significant net exports of pharmaceuticals, but also the large investment in US stocks.
- **Monetary policy.** Danmarks Nationalbank (DN) did not intervene when EUR/DKK was on the rise in January. The pair briefly touched a new high of 7.4728 in March. It remains to be seen if that prompted intervention, but we think EUR/DKK needs to rise above 7.4730 before DN would start to intervene. While intervention over the coming months is a clear possibility, we do not expect a unilateral rate hike the coming year. We expect the ECB to keep its key policy rate steady at 2.00%, which means we look for DN to stay on hold at 1.60% thereby maintaining the policy rate spread at -40bp. Should ECB change interest rates, DN would follow 1:1.
- **External balances.** Denmark continues to run a very large current account surplus around 10-15% of GDP with pharmaceutical exports making a big contribution to the trade surplus. Service exports also help despite the rise in tariffs. The significant surplus materialises in a large investment need abroad.
- **Valuation.** The strong Danish external balances keep a 'DKK appreciation risk premium' vis-à-vis the EUR in the FX forward curve.
- **Positioning.** Recent hedging data from the Danish central bank showed that the domestic life and pension kept its USD hedge over 71% in January. The sector kept its EUR hedge ratio steady in January at the highest level since April. Increased EUR hedging has likely helped mitigate part of the upwards pressure on EUR/DKK since December.

Forecast: 7.4725 (1M), 7.4675 (3M), 7.4625(6M), 7.4600 (12M)



	1M	3M	6M	12M
Danske Bank	7.4725	7.4675	7.4625	7.4600
Consensus	7.4600	7.4600	7.4600	7.4512
Forward	7.4692	7.4648	7.4584	7.4478

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond, Danske Bank

- **Risks.** EUR/DKK remains exposed to large movements in equity and fixed income markets via the FX hedge rebalancing effect. US equity outperformance will tend to keep EUR/DKK low, while higher long-term bond yields will support a higher EUR/DKK. The fiscal shift in Germany may, over time, put strong Danish macroeconomic balances in an even better light. For now, the former has had little effect on the pair.
- **Conclusion.** We look for EUR/DKK to trade above the 7.4700 level near-term. Large dividend flows in the end of March will put temporary upwards pressure on the pair. On 12M, we expect a drop back towards the 7.4600 level as strong fundamentals continue to weigh on the pair.

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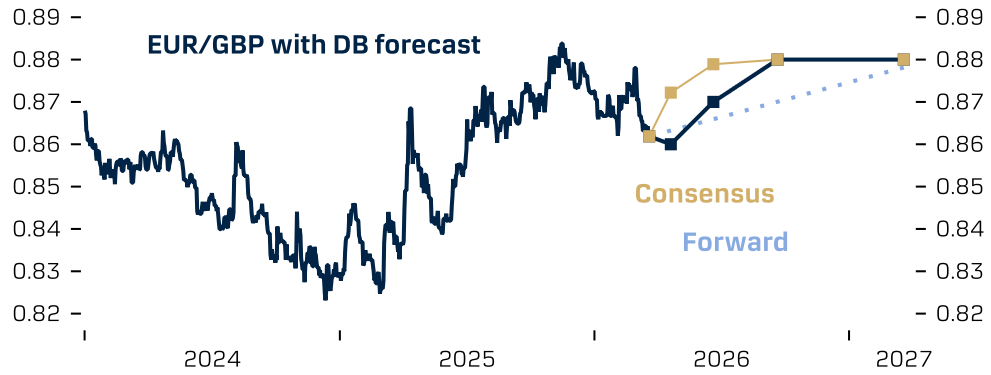
EUR/GBP – to edge higher

- **Cyclical outlook.** The growth outlook for the UK remains a mixed bag. Data released since February have been mixed with some key dovish details. PMI data have suggested the economy has picked up speed in Q1. However, January GDP data disappointed as m/m growth hit 0. January inflation was close to expectations. Like inflation, wage growth has headed lower but remains elevated with average earnings (excl. bonus) at 3.3% in January down from close to 6% in early 2025.
- **Monetary policy.** In a surprisingly unanimous decision, the Bank of England (BoE) decided to keep the Bank Rate unchanged at 3.75% in February. This was a hawkish surprise, and a large part of the communication was also centred around increased risk of domestic inflationary pressures through second-round effects in wage and price-setting. We expect that the recent surge in energy prices and elevated uncertainty will keep the BoE on hold for the coming months. We therefore now expect the BoE to deliver the next cut in the Bank Rate in July with a final cut to 3.25% in February 2027. We see relative rates as a slight positive for EUR/GBP.
- **External balances.** The UK runs a large current-account deficit, which makes GBP vulnerable when capital inflows fade; this keeps GBP at risk vs EUR in the wake of souring global risk appetite.
- **Valuation.** Our Brexit-corrected MEVA estimate for EUR/GBP is around 0.83.
- **Positioning.** Non-commercial positioning is long EUR/GBP.
- **Risks.** Near-term risks are inherently connected to global energy prices and the developments in Iran and the Persian Gulf. The key risk to seeing EUR/GBP trade substantially higher than our forecast is a sharp sell-off in global risk, which could be triggered by further escalation in the Middle East. Other risks are related to developments in the relative growth outlook between the euro area and the UK. If growth fares better than expected in the UK, this could send EUR/GBP substantially lower.

Forecast: 0.86 (1M), 0.87 (3M), 0.88 (6M), 0.88 (12M)



	1M	3M	6M	12M
Danske Bank	0.86	0.87	0.88	0.88
Consensus	0.87	0.88	0.88	0.88
Forward	0.86	0.87	0.87	0.88

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond, Danske Bank

- **Conclusion.** EUR/GBP has gradually edged lower following the escalations in the Middle East. While the UK is still a net-energy importer akin to the euro area, the energy mix in the UK slightly favours a relatively stronger GBP vs EUR. This poses a risk to our call of a weaker GBP the coming year combined with GBP performing in a USD positive environment. However, we highlight that the UK economy remains fragile and that we see scope for the significant repricing of the BoE to revert to a larger extent than for the ECB, opening up for a move higher in EUR/GBP. We forecast EUR/GBP to move higher towards 0.88 on a 6–12-month horizon.

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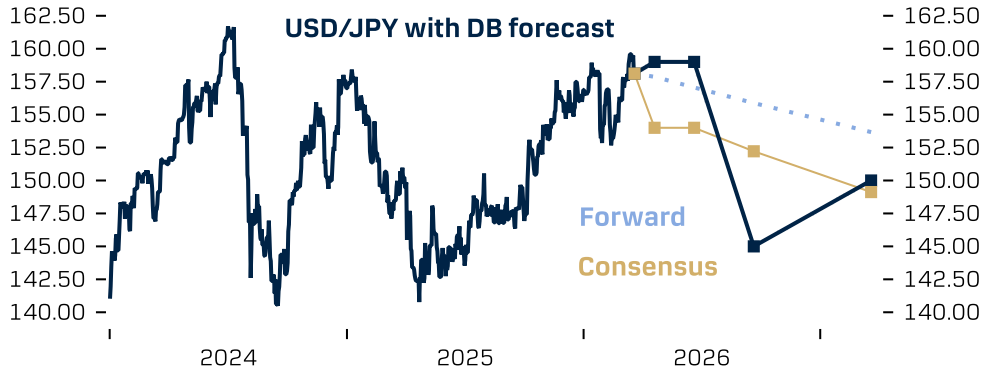
USD/JPY – to remain elevated for longer

- **Cyclical outlook.** With the sharp rise in energy prices the risk of a sharper slowdown in Japanese growth has re-emerged despite the outlook for a more pro-stimulus fiscal agenda following the February LDP-election victory. Prior to the Iran-escalation the Japanese economy had exited immediate recession risks but with activity levels remaining modest and inflation staying high (in a Japanese context) there is little room for error. The Q4 2025 GDP figures revealed only 0.1% quarterly growth with disappointing details. Our base case for the economy remains that of a moderate recovery during 2026 but with heightened uncertainty amid the situation in the Middle East. Near-term the spring wage negotiations will be key to monitor.
- **Monetary policy.** With an 8-1 vote split, the Bank of Japan (BoJ) kept rates unchanged at the March monetary policy meeting, which was in line with market pricing and analyst expectations. While acknowledging risks from increased tensions over the situation in the Middle East, the BoJ expects underlying inflation to increase gradually, and it will thus "continue to raise the policy interest rate and adjust the degree of monetary accommodation". We expect the next rate hike from the BoJ in April, but much hinges on spring wage negotiations and of course energy prices.
- **External balances.** The Japanese trade balance, along with terms of trade, has improved markedly since reaching historical lows after the pandemic. Falling imports and rising exports have nearly closed the gap caused by the pandemic.
- **Positioning.** Speculators are neutral-positioned in the JPY.
- **Risks.** The main risk to our forecast is stronger-than-expected US data, which could delay further Fed cuts. An energy shock from potential geopolitical escalations could also pose upside risk.

Forecast: 159 (1M), 159(3M), 145 (6M), 150 (12M)



	1M	3M	6M	12M
Danske Bank	159	159	145	150
Consensus	154	154	152	149
Forward	158	157	156	154

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond, Danske Bank

- **Conclusion.** Since our last update, spot has risen sharply driven by both a stronger USD and a weaker JPY. The relative terms of trade shock stemming from the war in Iran is particularly notable in USD/JPY with the US having become a net exporter of energy while Japan remains one of the most energy-import dependent economies in the developed world. Fundamentally, we think USD strength will turn later in the year, but near-term the balance of risk in the cross remains skewed to the topside. This in turn will continue to put pressure on the Japanese authorities' willingness to verbally – and potentially actually – intervene in the FX market. With the latest move we lift the short end of our profile on 1M and 3M to levels close to current spot. However, we maintain a downward sloping profile for the cross targeting 150 in 12M.

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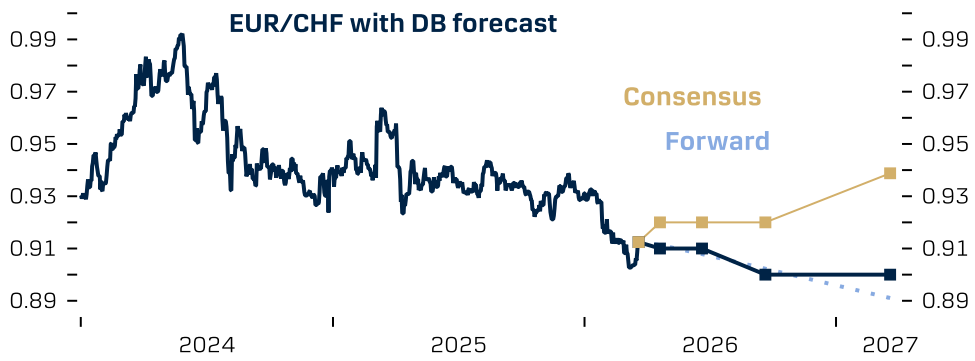
EUR/CHF

Forecast: 0.91 (1M), 0.91 (3M), 0.90 (6M), 0.90 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond, Danske Bank

- After having declined significantly at the beginning of the month, EUR/CHF has largely reversed the move trading back above 0.91. We remain bearish on EUR/CHF and think the current environment favours a stronger CHF. We target the cross at 0.90 in 6-12 months.
- The Swiss National Bank (SNB) remains firmly on hold with its policy rate at 0% and we expect this to remain the case despite the outcome space widening and uncertainty increasing. Inflation remains to the soft side only further underpinned by the strong CHF and Switzerland's favourable energy mix. We think this will keep the SNB from hiking rates. Combined with strong fundamentals, we think persistently diverging price levels favour a stronger CHF via the PPP. Additionally, a global investment environment characterised by weak global growth and elevated uncertainty benefits CHF.
- The biggest risks to this call are aggressive FX intervention from the SNB to weaken the CHF and a return to a reflationary environment.

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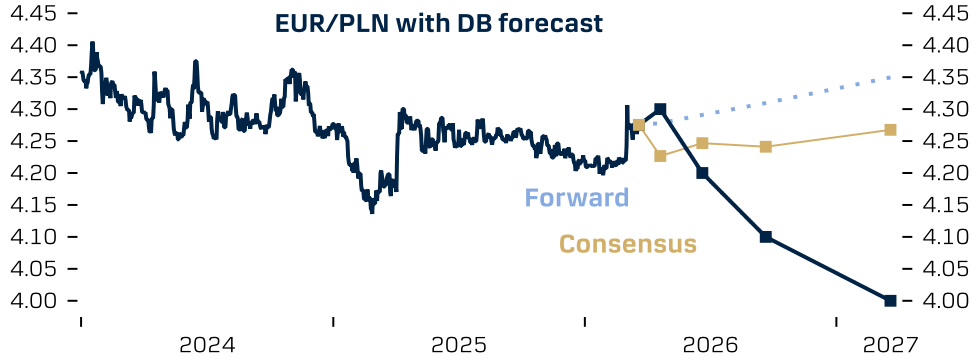
EUR/PLN

Forecast: 4.30 (1M), 4.20 (3M), 4.10 (6M), 4.00 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond, Danske Bank

- CEE currencies are found among the underperformers since the US/Israel-Iran war began, and the Polish Zloty is no exception. With a relatively high dependency on imported energy, especially natural gas, the rising energy prices in the wake of the war comes with elevated inflation and growth risks for the polish economy, yielding headwinds for the Zloty. Despite the elevated uncertainty, the National Bank of Poland (NBP) decided to follow-through on their previous guidance and cut interest rates to 3.75% at their early-March meeting. However, judging by the subsequent policy guidance, this could well prove to constitute the end of the easing cycle. At the very least, there seems to be broad consensus within the NBP that further easing should be ruled out for as long as the war drags on.
- With its dependency on foreign-sourced energy, the Polish economy (and the Zloty) remains vulnerable to setbacks for as long as the war wears on. To compensate for that, we raise the near-term forecast profile slightly. However, as we retain our favorable view on long-term Zloty fundamentals, we stick with our downward sloping profile and keep our 12m target intact at 4.00.

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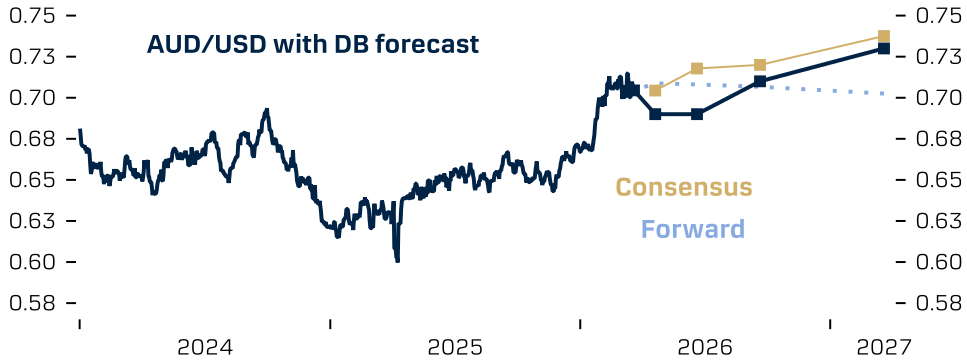
AUD/USD

Forecast: 0.69 (1M), 0.69 (3M), 0.71 (6M), 0.73 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond, Danske Bank

- AUD has been one of the strongest performing G10 currencies in early 2026 and even during the war in Iran. The currency has benefitted from both a positive terms-of-trade shock and relative monetary policy.
- The Reserve Bank of Australia (RBA) hiked rates for the second time in a row in March. RBA emphasized, that the decision to hike was not based on just higher energy prices, but stronger-than-expected domestic demand and capacity pressures. RBA did not provide guidance towards further policy tightening, but markets have already priced in the next hike by June.
- Signs of improving manufacturing cycle both globally, but especially in Asia supported AUD in early 2026. Whilst the sharp uptick in energy prices is bad news for the manufacturing outlook, Australia also benefits from the war as it is one of the largest exporters of LNG globally. We maintain a cautiously rising forecast profile in 6-12M horizon.

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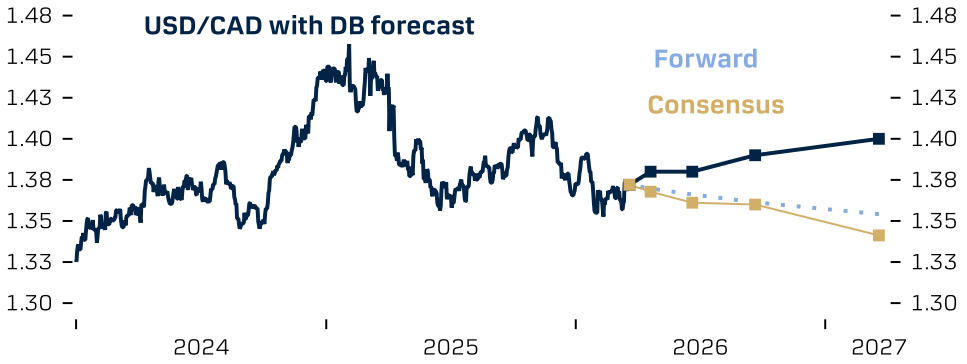
USD/CAD

Forecast: 1.38 (1M), 1.38 (3M), 1.39 (6M), 1.40 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond, Danske Bank

- CAD has been among the top-performing G10 currencies over the past month, supported by a positive terms-of-trade shock stemming from Canada's status as a net-energy exporter amid surging energy prices. However, broader flight-to-safety into the USD has tempered the Loonie's appreciation, keeping USD/CAD trading within a relatively tight range.
- The Bank of Canada (BoC) held its policy rate at 2.25% in March, highlighting downside risks to growth and upside risks to inflation. While the BoC emphasised that it is too early to assess the full impact of the energy price shock, markets have priced in two rate hikes by year-end. Our base case entails unchanged policy rates from BoC in the coming 12M.
- We expect USD strength to persist in the near-term but turn bearish over the coming year (see EUR/USD slide). Over the longer term, this will in isolation act as a headwind for the trade weighted CAD. In addition, the Canadian economy outlook alongside continued trade concerns with the US are likely to pull CAD lower – also vs the USD. As such, we have adjusted our forecasts but stick to a flat-to-marginally upward sloping profile for USD/CAD.

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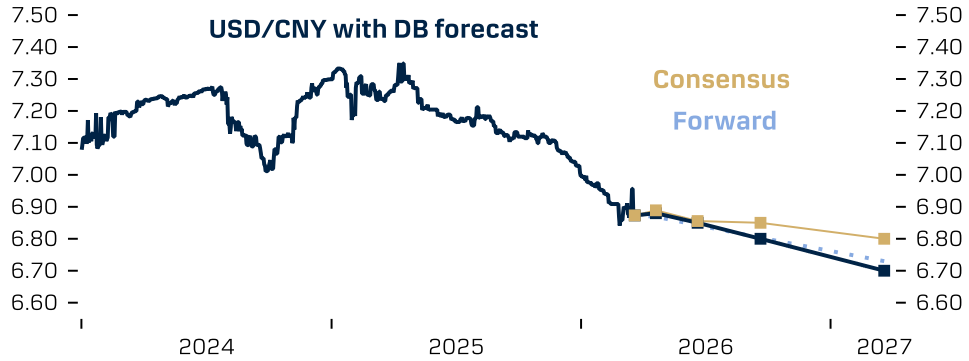
USD/CNY – continued CNY appreciation

- **CNY the past month.** USD/CNY is broadly unchanged from a month ago taking a break from the declining trend. The overall USD strength due to the Iran war has put a halt to the depreciation vs CNY.
- **Growth outlook.** The Chinese economy continues to muddle through in a two-speed economy with weak domestic demand and strong exports/tech development. Data for the first two months of the year was stronger than expected as is often the case in China in the beginning of the year. Property construction showed tentative signs of stabilisation (at a low level of 25% of pre-crisis levels). Declines in home prices have also eased providing some (small) rays of light in the housing market. Retail sales still increased only 2.8%, though, still leaving exports as the main engine of growth. Real exports increased more than 20% y/y in Jan/Feb. We look for more of the same in the Chinese economy the rest of the year and look for 4.8% growth. This is in line with the government's new growth target of 4½-5%, down from 5% in 2025.
- **Monetary policy.** People's Bank of China (PBOC) has provided some structural lending support and signalled it has room to cut policy rates and the reserve requirement rate in 2026. We expect a cut in policy rates of around 10bp within the next 1-2 months.
- **FX policy.** China has a managed currency and PBOC has revealed a preference for a gradual decline in USD/CNY by lowering the fixing steadily for some time now. The nominal trade weighted currency has appreciated 6% over the past six months. We expect this development to continue over the coming year as the renminbi looks undervalued and currency strengthening facilitates the rebalancing of the economy, that China aims for. A daily fixing for USD/CNY sets the middle of the +/-2% daily trading band.
- **Flows.** China's current account surplus has increased above 3% of GDP driven by a high and rising goods trade surplus, now above 7% of GDP. The service balance is negative, though, due to a pick-up in outbound tourists. Net FDI is negative as inbound FDI has weakened while outbound FDI has increased as Chinese companies increasingly go global.

Forecast: 6.88 (1M), 6.85 (3M), 6.80 (6M), 6.70 (12M)



	1M	3M	6M	12M
Danske Bank	6.88	6.85	6.80	6.70
Consensus	6.89	6.86	6.85	6.80
Forward	6.87	6.84	6.80	6.73

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond, Danske Bank

- **Valuation.** With a continuously rising trade surplus and depreciation of the real currency, the CNY looks increasingly undervalued.
- **Risks.** The uncertainty to the outlook is generally high. The development in the Iran war, the outlook for EUR/USD and Beijing's willingness to let the CNY appreciate are the key drivers so any deviation from our expectations here would affect the path for USD/CNY.
- **Conclusion.** We continue to expect a gradual decline in USD/CNY as China signals a preference for further CNY appreciation. We keep our forecast at 6.88 in 1M, 6.85 in 3M, 6.8 in 6M and 6.70 in 12M.

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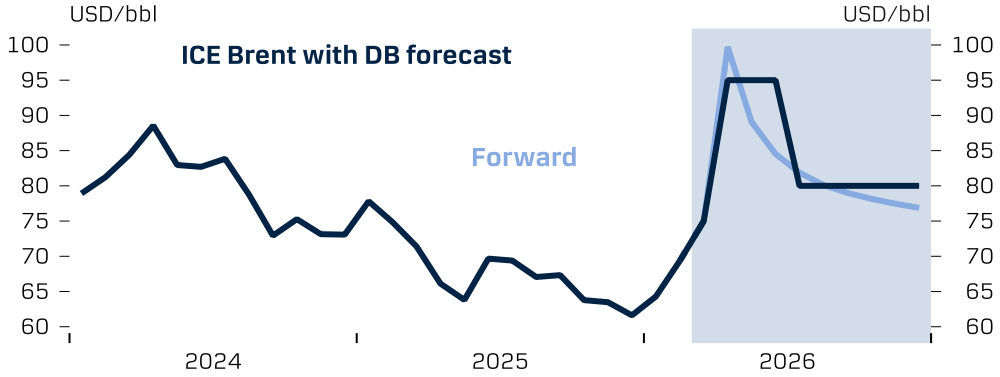
Oil – Strait of Hormuz closure drives historical supply disruption

- **Macro.** The US-Israel attack on Iran on 28 February has led to a de facto closure of the Strait of Hormuz (SOH), disrupting around 20mb/d which amounts to 20% of global oil consumption. Alternative pipeline routes offer only partial relief. Saudi Arabia's East-West pipeline can transport up to 7mb/d to Yanbu on the Red Sea, though effective port loading capacity is lower. The UAE's pipeline to Fujairah offers around 1.8mb/d capacity but remains vulnerable due to its proximity to the SOH. Combined, these pipelines provide less than 9mb/d, leaving a significant shortfall compared to disrupted flows. The IEA has announced the release of 400mb from global strategic reserves, more than double the 2022 Ukraine response. At its March meeting, OPEC+ announced a 206kb/d output increase starting in April. However, much of this capacity sits within the Persian Gulf, limiting its practical utility while the strait remains closed.
- The US midterm elections in November place a political ceiling on how long the administration can tolerate high pump prices. The supply disruption also pressures big Asian importers including China. Finally, the US economy did show a small crack following the drop in employment. Weaker growth will dampen oil demand. All this aligns with oil futures markets, which show steep backwardation of the curve.
- **Risks.** The risks to our forecast remain high – particularly in the near term. Upside risks to oil prices include a prolonged Strait closure, direct strikes on Gulf energy infrastructure, or Houthi re-engagement at the Bab-el-Mandeb strait. Downside risk includes a swift ceasefire allowing vessels to transit the strait or growing US recession risks.
- **Conclusion.** We expect Brent to average USD95/bbl in Q2, reflecting the geopolitical premium and near-term supply tightness. As supply normalises, prices are expected to fall to USD80/bbl in Q3 and Q4 assuming a reopening of SOH. By 2027, Brent is forecasted to average USD85/bbl as markets gradually revert to fundamental supply-demand balance.

Forecast: 75 (Q1'26), 95 (Q2'26), 80 (Q3'26), 80 (Q4'26), 85 (2027)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond, Danske Bank

The longer the crisis around SOH drags out, the longer it will likely take for a normalisation of oil prices to occur after a reopening of SOH, since strategic reserves will need to be refilled and oil installations in the Gulf likely will require maintenance.

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Danske Bank FX forecasts vs EUR

G10				Last Update:	20/03/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs EUR					
EUR/USD	1.16	1.13	1.12	1.17	1.22
EUR/JPY	183	180	178	170	183
EUR/GBP	0.86	0.86	0.87	0.88	0.88
EUR/CHF	0.91	0.91	0.91	0.90	0.90
EUR/SEK	10.75	10.80	10.80	11.00	11.00
EUR/NOK	10.99	11.00	11.00	11.30	11.50
EUR/DKK	7.4713	7.4725	7.4675	7.4625	7.4600
EUR/AUD	1.63	1.64	1.62	1.65	1.67
EUR/NZD	1.97	1.95	1.93	1.95	1.97
EUR/CAD	1.59	1.56	1.55	1.63	1.71
EM					
	Spot	+1m	+3m	+6m	+12m
EUR/PLN	4.27	4.30	4.20	4.10	4.00
EUR/HUF	391	390	390	400	410
EUR/CZK	24.5	24.5	24.4	24.2	24.0
EUR/TRY	51.3	51.0	52.1	57.1	64.9
EUR/ZAR	19.4	19.2	19.0	19.7	20.2
EUR/CNY	7.97	7.77	7.67	7.96	8.17
EUR/INR	108.1	105.1	103.9	109.3	114.7

Source: Danske Bank

Danske Bank FX forecasts vs DKK

G10				Last Update:	20/03/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs DKK					
USD/DKK	645.30	661.28	666.74	637.82	611.48
JPY/DKK	4.08	4.16	4.19	4.40	4.08
GBP/DKK	866.79	868.90	858.33	848.01	847.73
CHF/DKK	818.25	821.15	820.60	829.17	828.89
SEK/DKK	69.49	69.19	69.14	67.84	67.82
NOK/DKK	67.96	67.93	67.89	66.04	64.87
EUR/DKK	747.13	747.25	746.75	746.25	746.00
AUD/DKK	457.54	456.29	460.05	452.85	446.38
NZD/DKK	379.91	383.54	386.71	382.69	379.11
CAD/DKK	470.49	479.19	483.15	458.86	436.77
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/DKK	174.93	173.78	177.80	182.01	186.50
HUF/DKK	1.91	1.92	1.91	1.87	1.82
CZK/DKK	30.52	30.50	30.60	30.84	31.08
TRY/DKK	14.56	14.66	14.34	13.07	11.49
ZAR/DKK	38.47	38.90	39.41	37.94	36.90
CNY/DKK	93.77	96.12	97.33	93.80	91.26
INR/DKK	6.91	7.11	7.18	6.83	6.51

Source: Danske Bank

Note: The convention used is 1/100

Danske Bank FX forecasts vs SEK

G10				Last Update:	20/03/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs SEK					
USD/SEK	9.29	9.56	9.64	9.40	9.02
JPY/SEK	5.87	6.01	6.06	6.48	6.01
GBP/SEK	12.47	12.56	12.41	12.50	12.50
CHF/SEK	11.77	11.87	11.87	12.22	12.22
EUR/SEK	10.75	10.80	10.80	11.00	11.00
NOK/SEK	0.98	0.98	0.98	0.97	0.96
DKK/SEK	1.44	1.45	1.45	1.47	1.47
AUD/SEK	6.58	6.59	6.65	6.68	6.58
NZD/SEK	5.47	5.54	5.59	5.64	5.59
CAD/SEK	6.77	6.93	6.99	6.76	6.44
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/SEK	2.52	2.51	2.57	2.68	2.75
HUF/SEK	2.75	2.77	2.77	2.75	2.68
CZK/SEK	0.44	0.44	0.44	0.45	0.46
TRY/SEK	0.21	0.21	0.21	0.19	0.17
ZAR/SEK	0.55	0.56	0.57	0.56	0.54
CNY/SEK	1.349	1.389	1.408	1.383	1.346
INR/SEK	0.099	0.103	0.104	0.101	0.096

Source: Danske Bank

Danske Bank FX forecasts vs NOK

G10				Last Update:	20/03/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs NOK					
USD/NOK	9.50	9.73	9.82	9.66	9.43
JPY/NOK	6.00	6.12	6.18	6.66	6.28
GBP/NOK	12.75	12.79	12.64	12.84	13.07
CHF/NOK	12.04	12.09	12.09	12.56	12.78
SEK/NOK	1.02	1.02	1.02	1.03	1.05
EUR/NOK	10.99	11.00	11.00	11.30	11.50
DKK/NOK	1.47	1.47	1.47	1.51	1.54
AUD/NOK	6.73	6.72	6.78	6.86	6.88
NZD/NOK	5.59	5.65	5.70	5.79	5.84
CAD/NOK	6.92	7.05	7.12	6.95	6.73
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/NOK	2.57	2.56	2.62	2.76	2.88
HUF/NOK	2.81	2.82	2.82	2.83	2.80
CZK/NOK	0.45	0.45	0.45	0.47	0.48
TRY/NOK	0.21	0.22	0.21	0.20	0.18
ZAR/NOK	0.57	0.57	0.58	0.57	0.57
CNY/NOK	1.38	1.41	1.43	1.42	1.41
INR/NOK	0.10	0.10	0.11	0.10	0.10

Source: Danske Bank

Danske Bank FX forecasts vs USD

G10				Last Update:	20/03/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs USD					
EUR/USD	1.16	1.13	1.12	1.17	1.22
USD/JPY	158	159	159	145	150
GBP/USD	1.34	1.31	1.29	1.33	1.39
USD/CHF	0.79	0.81	0.81	0.77	0.74
USD/SEK	9.29	9.56	9.64	9.40	9.02
USD/NOK	9.50	9.73	9.82	9.66	9.43
USD/DKK	6.45	6.61	6.67	6.38	6.11
AUD/USD	0.71	0.69	0.69	0.71	0.73
NZD/USD	0.59	0.58	0.58	0.60	0.62
USD/CAD	1.37	1.38	1.38	1.39	1.40
EM					
	Spot	+1m	+3m	+6m	+12m
USD/PLN	3.69	3.81	3.75	3.50	3.28
USD/HUF	338	348	348	342	336
USD/CZK	21.14	21.68	21.79	20.68	19.67
USD/TRY	44.29	45.10	46.50	48.80	53.20
USD/ZAR	16.78	17.00	16.92	16.81	16.57
USD/CNY	6.88	6.88	6.85	6.80	6.70
USD/INR	93.39	93.00	92.80	93.40	94.00

Source: Danske Bank

Danske Bank FX forecasts vs GBP

G10				Last Update:	20/03/2026
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs GBP					
GBP/USD	1.34	1.31	1.29	1.33	1.39
GBP/JPY	213	209	205	193	208
EUR/GBP	0.86	0.86	0.87	0.88	0.88
GBP/CHF	1.06	1.06	1.05	1.02	1.02
GBP/SEK	12.47	12.56	12.41	12.50	12.50
GBP/NOK	12.75	12.79	12.64	12.84	13.07
GBP/DKK	8.67	8.69	8.58	8.48	8.48
GBP/AUD	1.89	1.90	1.87	1.87	1.90
GBP/NZD	2.28	2.27	2.22	2.22	2.24
GBP/CAD	1.84	1.81	1.78	1.85	1.94
EM					
	Spot	+1m	+3m	+6m	+12m
GBP/PLN	4.96	5.00	4.83	4.66	4.55
GBP/HUF	453	453	448	455	466
GBP/CZK	28.40	28.49	28.05	27.50	27.27
GBP/TRY	59.55	59.26	59.86	64.88	73.75
GBP/ZAR	22.54	22.34	21.78	22.35	22.97
GBP/CNY	9.24	9.04	8.82	9.04	9.29
GBP/INR	125.43	122.20	119.47	124.18	130.32

Source: Danske Bank

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